addition to the Taj Mahal hotel when I heard some urchins shouting, 'Dollar, dollar!' Startled, I looked up to see them running behind a tourist. Perplexed by a word I had not heard before, I asked my father why they were not asking for money. He smiled and gave me my first lesson on economics and currencies. In closing, he said to me half-jokingly: 'One day you will be walking on the streets of New York, and children will run after you asking for the rupee.'

While I would never wish for children to run after me in any city, anywhere in the world, the image my father painted that day represented a rupee so strong that it would be a cherished currency all over the world. Since that time, I have often viewed economic policies through the prism of whether they will make the life of our children easier, our economy more robust and resilient, and our currency stronger. In the process, I have found that there is a great deal to be learnt from history.

It is interesting that the note ban of November 2016 was not India's first experiment with demonetization. Were the learnings from previous demonetization experiences in India taken into account? Or, for that matter, were lessons from other countries taken into account? This chapter takes a brief walk into history to see if we can answer these questions.

## A Brief History of the Indian Rupee[1]

The Indian rupee (INR or ₹[2]) is the official currency of the Republic of India. It draws its name from the Rupiya, the silver coin first issued by Emperor Sher Shah Suri in the sixteenth century and later continued by the Mughal emperors.

The paper rupee was introduced in India in the late eighteenth century. As the Mughal Empire collapsed and colonial agency houses grew more influential, many of them established banks and started issuing banknotes. However, more widespread use of banknotes came with the note issues of the Presidency banks established by